

Unit 3 – Section 1: Business Objectives & Strategy

Quick-Fire & IAL-Style Teacher Pack

Topic 1: Mission Statements

Quick-Fire Questions

1. Define a mission statement.
2. State one purpose of a mission statement.
3. Explain one reason why mission statements are important to stakeholders.
4. Give one limitation of mission statements in influencing employee motivation.
5. Explain how a mission statement links to corporate objectives.
6. Identify one reason why a mission statement might need revising over time.
7. Explain one difference between a mission and a vision statement.

IAL-Style Exam Tasks

- Explain one benefit of having a clear mission statement for a global business like Nike. [4]
- Discuss whether mission statements genuinely influence business success or are mainly a marketing tool. [10]

Plenary Question

Do mission statements inspire performance — or simply provide PR value? Justify.

Topic 2: Corporate Objectives

Quick-Fire Questions

8. Define corporate objectives.
9. State one example of a SMART objective.
10. Explain how corporate objectives differ from departmental objectives.
11. Identify one internal factor that can influence corporate objectives.
12. Identify one external factor that can change objectives (e.g., recession).
13. Explain one reason why profit maximisation might not always be the main objective.
14. Define the term 'corporate hierarchy of objectives.'

IAL-Style Exam Tasks

- Assess the benefits of setting SMART objectives for a multinational firm such as Starbucks. [8]
- Evaluate whether corporate objectives should prioritise financial or ethical goals in the long run. [20]

Plenary Question

Should all business objectives be SMART — or are some strategic goals too broad to measure?

Topic 3: Ansoff Matrix

Quick-Fire Questions

15. Identify the four strategies within the Ansoff Matrix.
16. Explain one difference between market penetration and diversification.
17. Explain one risk of diversification.
18. Define 'market development.'
19. Explain how Ansoff's Matrix helps managers plan growth.
20. Give one limitation of using Ansoff's Matrix in a dynamic market.
21. Explain one advantage of product development for firms like Apple or Dyson.

IAL-Style Exam Tasks

- Assess the usefulness of the Ansoff Matrix when making strategic decisions. [8]
- Evaluate whether market development or diversification is the best growth strategy for Starbucks in new markets. [20]

Plenary Question

Is risk-taking essential for strategic growth? Use Ansoff examples to justify.

Topic 4: Porter's Generic Strategies

Quick-Fire Questions

22. Identify Porter's four generic strategies.
23. Define cost leadership.
24. Define differentiation strategy.
25. Explain one risk of being 'stuck in the middle.'
26. Explain how cost leadership can create competitive advantage.
27. Give one example of a firm using a hybrid strategy.
28. Explain one reason why focus strategies are effective for niche firms.

IAL-Style Exam Tasks

- Assess whether cost leadership is a sustainable long-term strategy for Aldi. [12]
- Evaluate the importance of differentiation for high-end brands such as Apple or Dyson. [20]

Plenary Question

Can a business realistically pursue both cost leadership and differentiation?

Topic 5: Portfolio Analysis (Boston Matrix)

Quick-Fire Questions

29. Define portfolio analysis.
30. Identify the four quadrants of the Boston Matrix.
31. Explain one use of portfolio analysis for strategic planning.
32. Define 'cash cow.'
33. Explain how portfolio analysis helps with resource allocation.
34. Identify one limitation of the Boston Matrix.
35. Explain one reason why businesses might retain 'dogs' in their portfolio.

IAL-Style Exam Tasks

- Explain one advantage of using the Boston Matrix for businesses such as Tesco. [4]
- Assess whether portfolio analysis is a reliable method for long-term strategic decisions. [8]

Plenary Question

Should strategic decisions rely on portfolio analysis or market research?

Topic 6: SWOT Analysis

Quick-Fire Questions

36. Define SWOT analysis.
37. Identify two internal factors considered in SWOT analysis.
38. Explain one benefit of SWOT analysis to managers.
39. Identify one limitation of SWOT analysis.
40. Explain why SWOT analysis needs to be regularly updated.
41. Explain how SWOT helps with strategic decision-making.

IAL-Style Exam Tasks

- Explain how SWOT analysis can help businesses identify growth opportunities. [4]
- Assess the usefulness of SWOT analysis for multinational businesses such as McDonald's. [8]

Plenary Question

Is SWOT more useful as a planning or review tool?

Topic 7: PESTLE Analysis

Quick-Fire Questions

42. Define PESTLE analysis.
43. Identify one political and one economic factor affecting business strategy.
44. Explain how technological factors can influence strategic change.

45. Explain one way social trends affect corporate strategy.
46. Explain one limitation of PESTLE analysis.
47. Identify one example of a legal change affecting business strategy (e.g. sugar tax).
48. Explain how environmental factors can lead to innovation.

IAL-Style Exam Tasks

- Assess how PESTLE analysis supports corporate strategy development. [8]
- Evaluate whether external influences or internal capabilities have a greater impact on long-term strategy. [20]

Plenary Question

Which PESTLE factor currently has the biggest impact on global business? Justify.

Topic 8: Porter's Five Forces

Quick-Fire Questions

49. Identify the five forces in Porter's model.
50. Define competitive rivalry.
51. Explain one reason why barriers to entry affect profitability.
52. Explain how buyer power influences pricing.
53. Explain how supplier power can limit strategic options.
54. Define substitute products and give an example.
55. Explain one way to reduce the threat of substitutes.

IAL-Style Exam Tasks

- Assess the usefulness of Porter's Five Forces for analysing competitive industries like smartphones or fast food. [12]
- Evaluate whether internal strengths (SWOT) or external pressures (Five Forces) are more influential in shaping strategy. [20]

Plenary Question

Is Porter's Five Forces still relevant in an era of digital disruption?